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Investor Presentation | Asia Pacific

Beijing Reacts to Weak Growth, EU Reacts to Beijing

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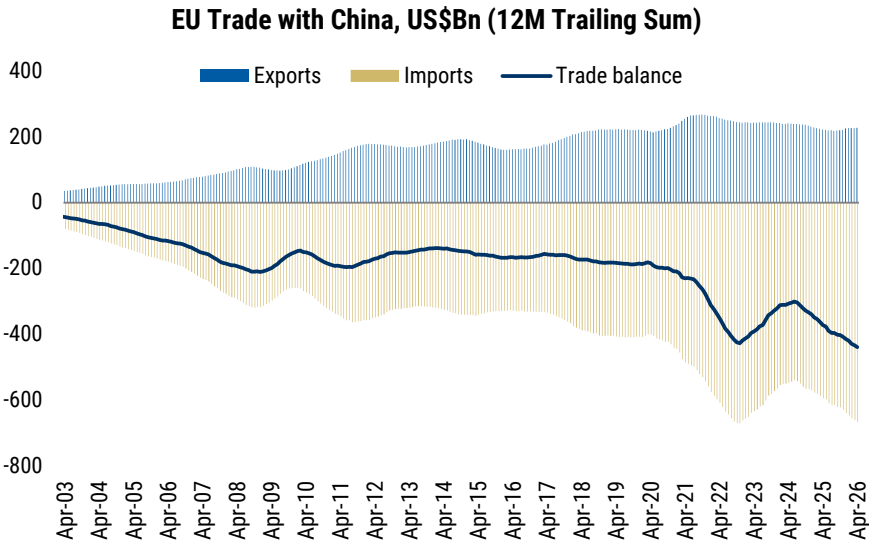


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China-EU Trade

EU Reacts to Rising Trade Deficit with China

Widening trade deficit with China..



...raising concerns among the EU

Latest remarks from EU



READ-OUT: COLLEGE ORIENTATION DEBATE

29 MAY 2026



DE-RISKING,
NOT DECOUPLING.



CHINA IS A PARTNER,
BUT THE STATUS QUO
IS NOT SUSTAINABLE.



NEED A
MORE ROBUST
AND COHERENT
RESPONSE.



G7 LEADERS' STATEMENT

17 JUNE 2026



SHARED INTEREST IN TACKLING
THE CAUSES OF LARGE AND
PERSISTENT GLOBAL IMBALANCES.



WE'LL KEEP WORKING
TOGETHER IN THE G20
AND OTHER KEY FORA.



EUROPEAN COUNCIL CONCLUSIONS

19 JUNE 2026



BOOST EU COMPETITIVENESS
& STRATEGIC AUTONOMY.



BUILD RESILIENCE,
SECURITY & DRIVE INNOVATION.



RENEW INDUSTRY. CUT DEPENDENCIES. INVEST IN INNOVATION.

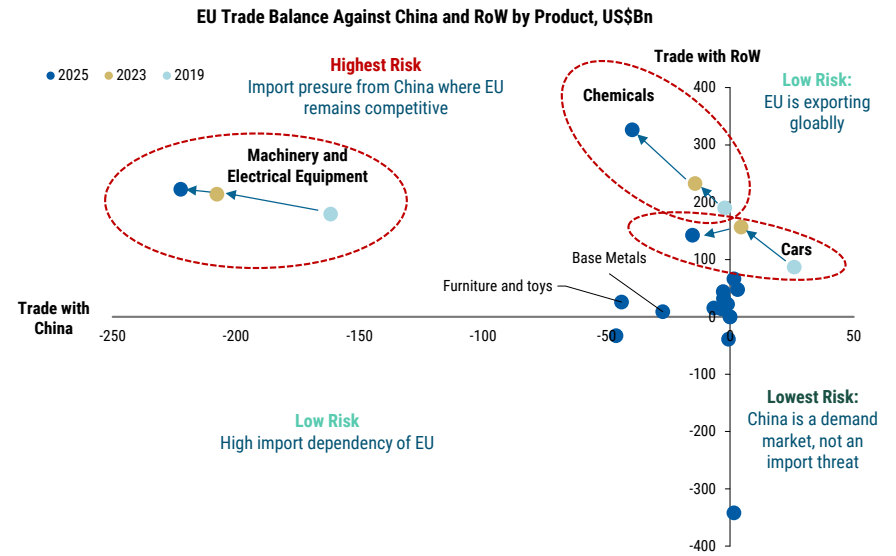
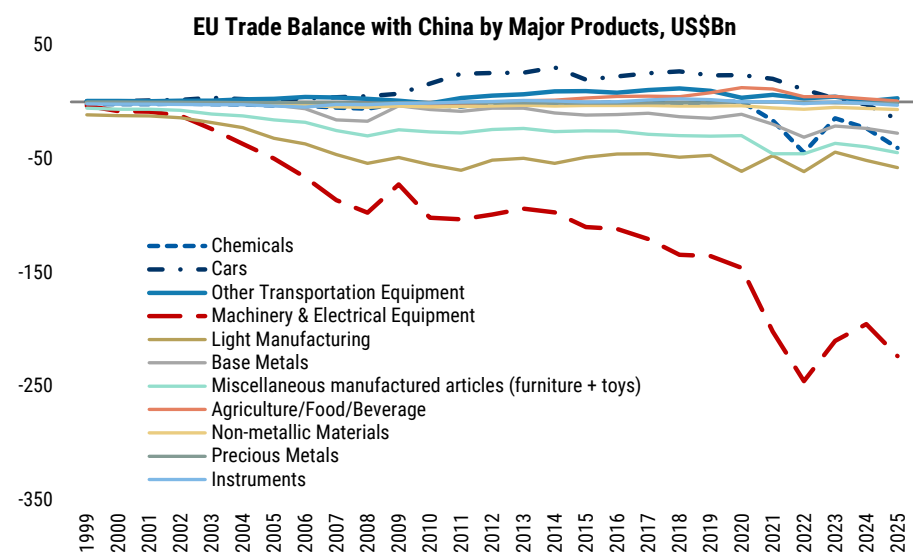
Source: CEIC, Morgan Stanley Research

China-EU Trade

Potential China-EU Trade Pressure Points

An (increasingly) larger deficit with China shows where the pressure is, or will be

The overlay would be Europe’s own competitiveness that it wants to defend



Source: CEIC, UN Comtrade, Morgan Stanley Research

China-EU Trade

Future Path: Navigating Preferences, Dependencies and Choke Points

EU’s toolkit has expanded in recent years



But potential tensions will likely be bounded by several forces

TENSIONS BOUNDED BY KEY CONSTRAINTS

- 1 MANAGING INTERNAL DIFFERENCES**
 - Align with EU economic interests. Consensus takes time.
 - Example:** EV countervailing duties Announced Sep-23 → completed Oct-24
- 2 STRATEGIC GOALS RELY ON CHINA INPUTS**
 - EU EV transition depends on China-linked battery supply chains.
 - Overly aggressive curbs risk retaliation, supply-chain friction and slower EV uptake.
- 3 TWO-WAY LEVERAGE**
 - China retains retaliation tools:
 - Anti-dumping on EU agri, dairy & brandy
 - Airbus order pipelines
 - Market access leverage in autos, luxury & finance
- 4 CHOKEPOINTS: RARE EARTH DEPENDENCY**
 - 100%** Heavy REEs from China
 - 85%** Light REEs from China
 - 98%** Rare-earth magnets from China

Source: European Parliament

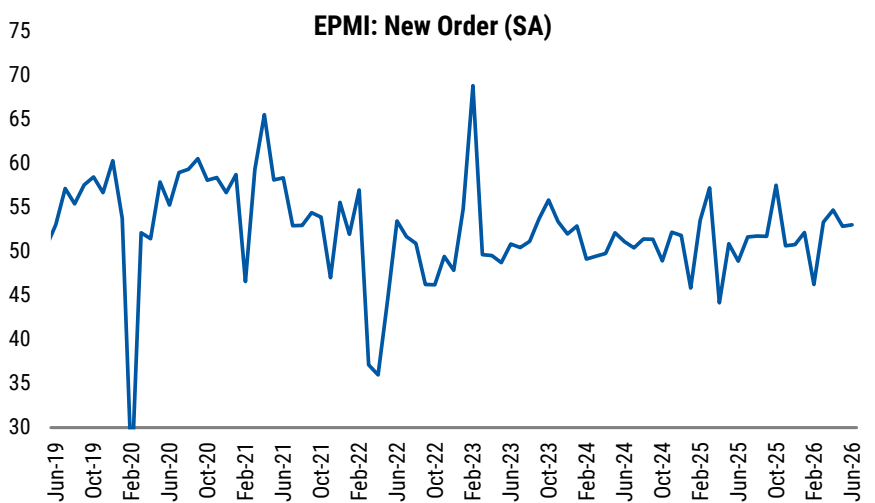
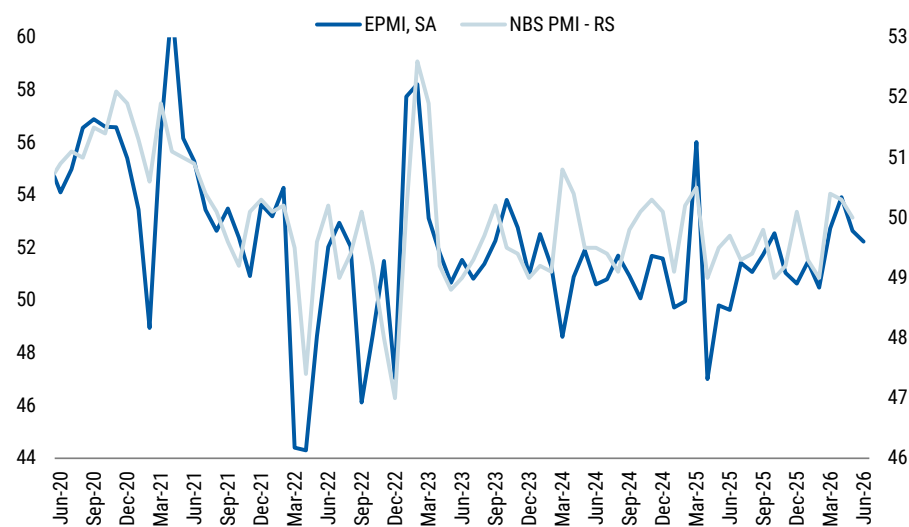
Source: Morgan Stanley Research

China Economy

High-end Manufacturing/Exports Remain Solid

June emerging industries PMI (EPMI) is decent despite some moderation

Exports likely resilient, with stabilized EPMI new orders

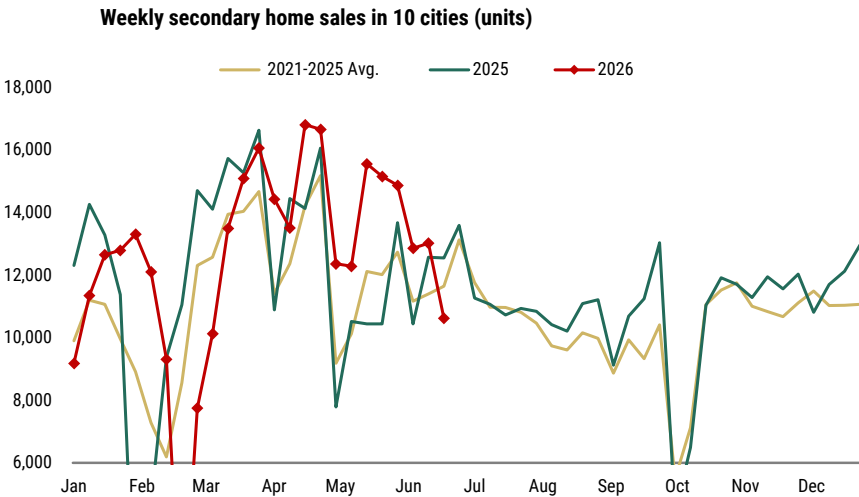


Source: CEIC, Morgan Stanley Research

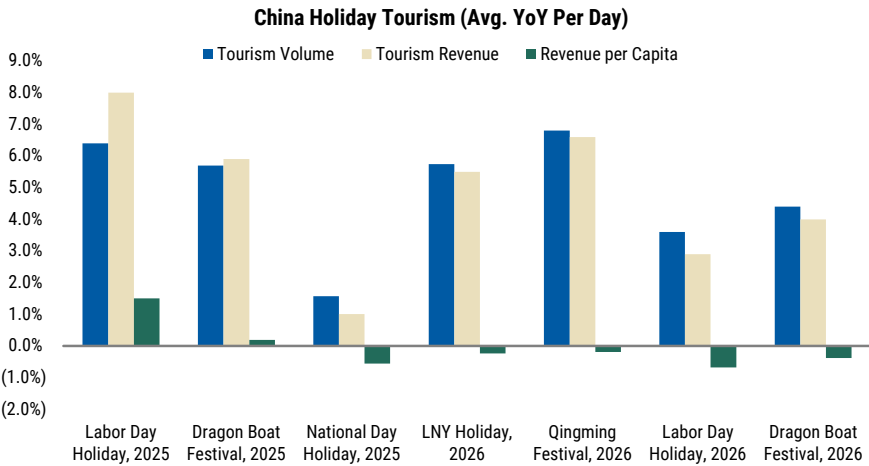
China Economy

Domestic Demand Continues to Soften

Secondary housing sales weakened again



Holiday travel: strong footfall, weak wallet conversion



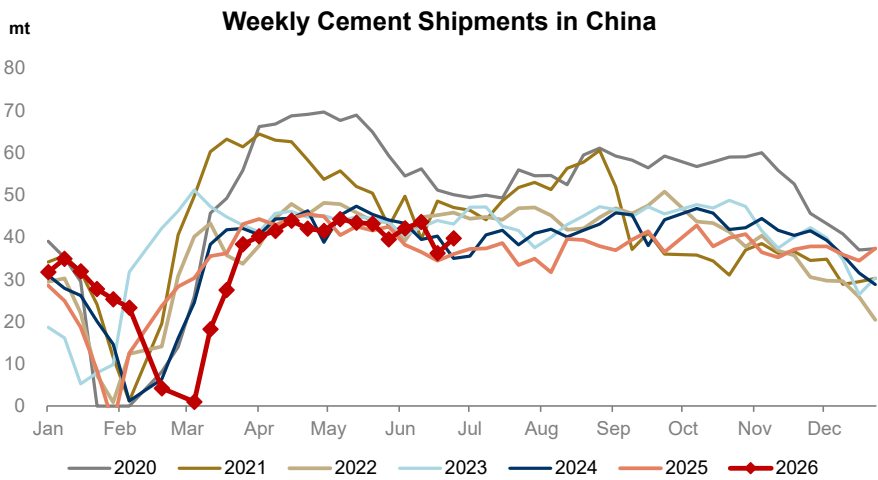
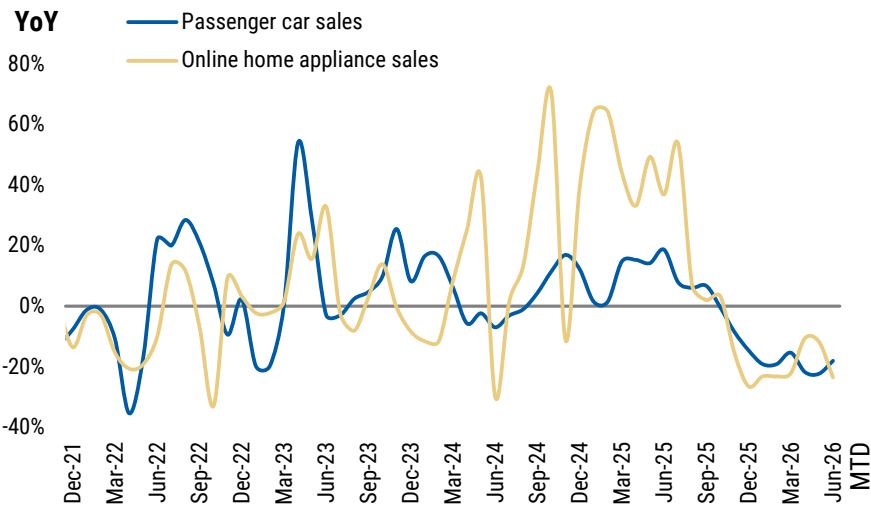
Source: Wind, Ministry of Culture and Tourism, Morgan Stanley Research

China Economy

Domestic Demand Continues to Soften (Cont.)

Auto and online home appliance sales: in line with seasonality sequentially, YoY pressured by a high base

On the bright side, construction activities seemed to have improved marginally



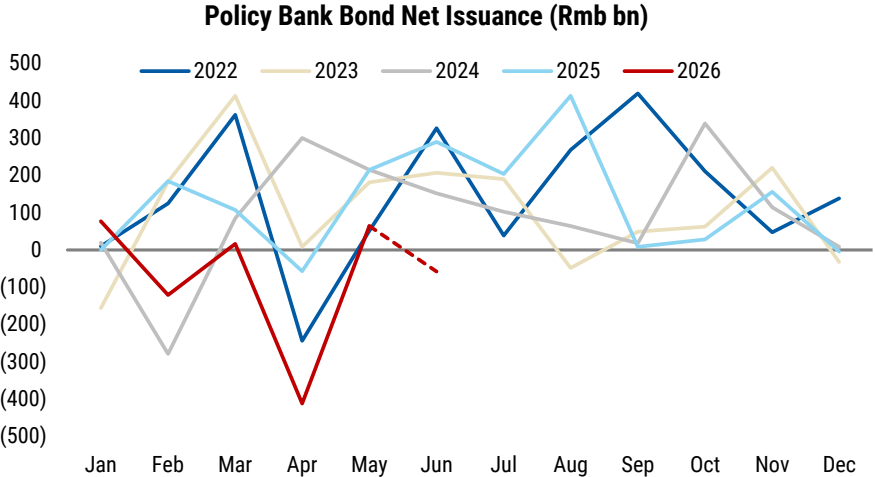
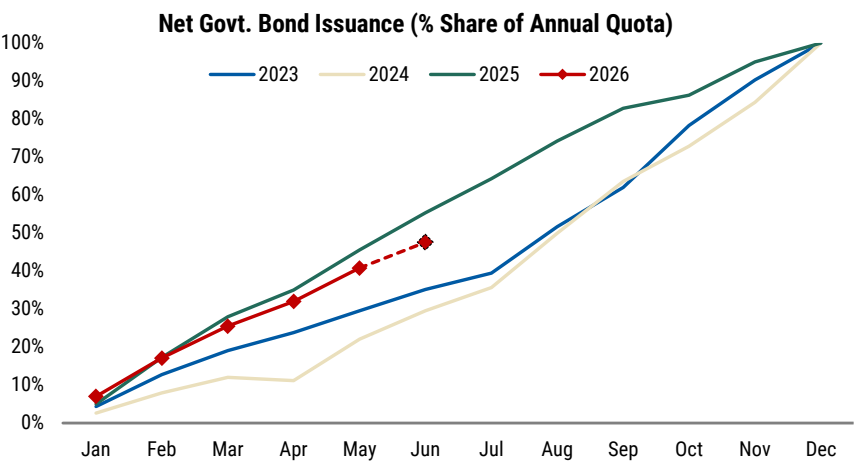
Source: CPCA, CMM, Digital Cement, Morgan Stanley Research

China Economy

Fiscal Policy: Yet to Catch Up

No clear acceleration in the issuance of government bonds...

...or policy bank bonds in June

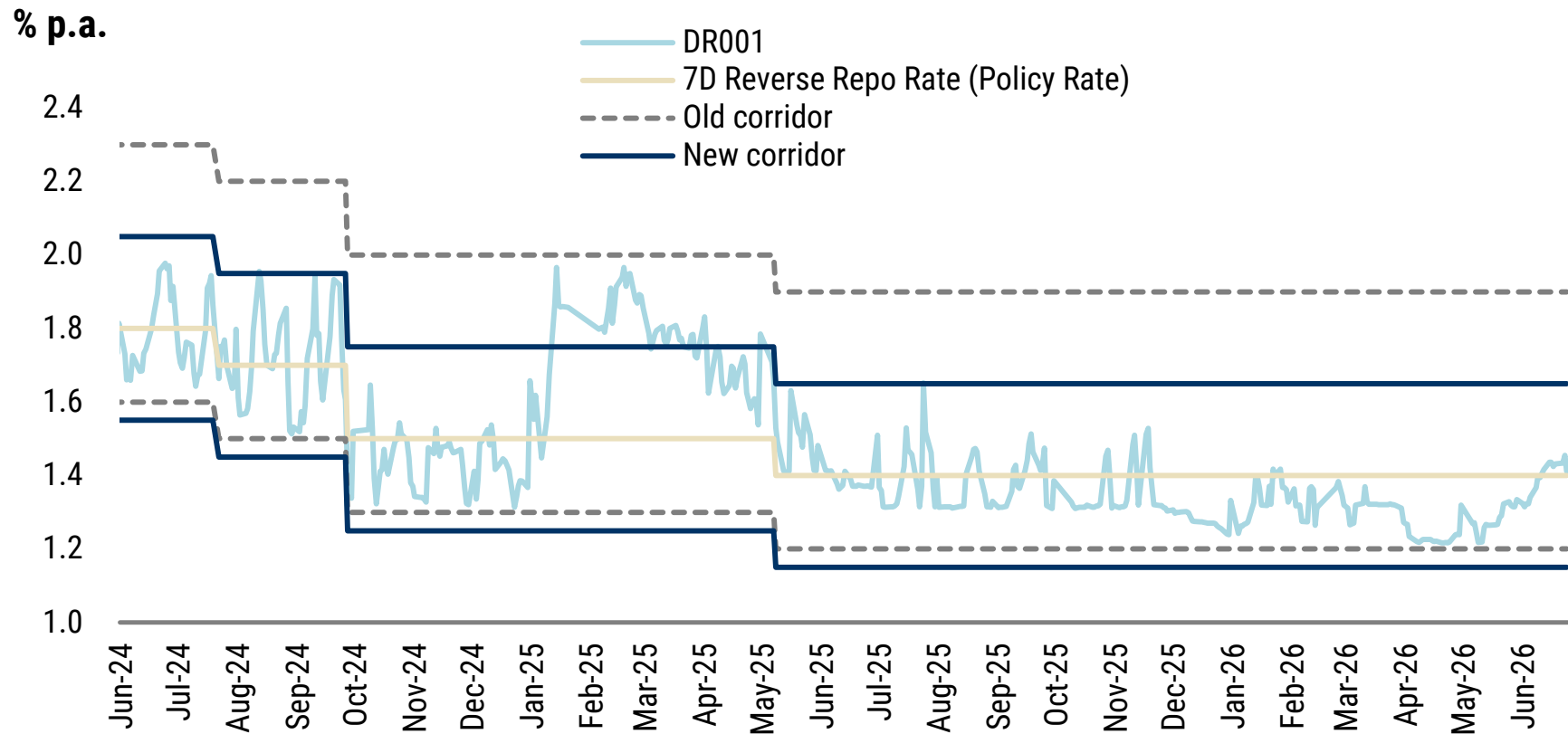


Source: CEIC, Wind, Morgan Stanley Research

China Economy

Monetary Policy: Continued Transition Towards Rate-Based Framework

PBoC enhances liquidity toolkit and reinforces transition to short-rate policy framework



Source: CEIC, Morgan Stanley Research

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